Strategic Growth Through AI

DLR Group · Leveraging Generative AI to Scale a $537M Integrated Design Platform

PREPARED BY CHIEF AI OFFICER

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Company at a Glance

$536.8M

Revenue

2025 Annual Report · 5-Year CAGR: 13.9%

~1,800

Employees

35+ offices · 5 continents

59

Years Operating

Founded 1966 · Omaha, NE

100%

Employee-Owned

ESOP since 1978 · S-ESOP since 2005

12

Market Sectors

#1 Justice · #3 K-12 · #3 Cultural Facilities

DLR Group is a top-20 U.S. integrated design firm delivering architecture, engineering, interiors, and planning across justice, education, sports, hospitality, healthcare, and federal markets. The firm nearly doubled revenue from $279.6M to $536.8M in five years under a distributed leadership model led by CEO Steven McKay, with COO John Fuller and a 15-member executive team.

The ESOP structure is a genuine competitive differentiator — employee-owner investment grew 126.7% from 2020–2025, stock has appreciated ~15% annually over the last decade, and nearly half of employee-owners identify as women. The firm completed 9 office openings and 4+ acquisitions since 2020, including Tsoi Kobus (healthcare/Boston) and Collins Cooper Carusi (K-12/Atlanta).

The Opportunity

Integration Advantage

DLR Group's integrated model — architecture, engineering, interiors, and planning under one roof — creates a unique AI multiplier. Automating cross-discipline coordination, BIM workflows, and project delivery across 35+ offices can compress timelines and reduce rework at a scale no single-discipline competitor can match.

Talent & Capacity Gap

With 127 open positions and an industry facing 499,000 worker shortages by 2026, the firm cannot hire its way to growth. AI augmentation of design production, proposal generation, and project management enables DLR Group to absorb more work without proportional headcount growth — protecting the ESOP value per share.

Margin Expansion at Scale

At $537M in revenue with ~$268K–$298K revenue per employee, DLR Group operates at top-quartile productivity. AI can push this further — transforming overhead-heavy SG&A functions and design production workflows to expand EBITDA margins from an estimated 12–15% toward 16–20%, creating outsized value for employee-owners.

Why Act Now

Prolonged Billings Contraction

The AIA Architecture Billings Index has been below 50 (contraction territory) in 35 of the last 38 months. Average firm backlog is 6.3 months. Firms that reduce delivery costs through AI will survive the downturn; those that don't will lose share when recovery begins.

Deepening Labor Crisis

41% of the AEC workforce is projected to retire by 2031. Only 7% of job seekers consider construction careers. Architecture firms report 81% recruitment concern. The "Missing Middle" — a dearth of mid-career professionals — is the industry's second-most-anticipated disruption.

Competitor Investment

Firms like SOM, Zaha Hadid (ZHACODE), and KPF have invested in proprietary computational design tools and AI-integrated production workflows. DLR Group's AI adoption remains early-stage. The window to establish AI-enabled differentiation is narrowing.

Rising Delivery Costs

Construction wages rose 4.2% YoY. Tariff uncertainty is raising material costs. Clients are deferring projects due to elevated construction costs. Firms that deliver faster and leaner will capture disproportionate share of projects that proceed.

AI Applications Across SG&A Functions

SG&A Functions

1 Finance & Accounting

Automated project accounting across 20+ offices · AI-powered invoice processing (2,300/month via Deltek Vision) · Cash flow forecasting · Close acceleration across multi-entity structure

Impact: 25–35% labor reduction · $1.8M–$2.6M savings

2 Sales & Marketing

AI proposal generation (reduce 40–80 hour proposals to 10–20 hours) · Pursuit scoring and go/no-go intelligence · BD content generation · CRM pipeline analytics

Impact: 30–40% efficiency gain · $4.2M–$6.3M savings

3 Customer Service

AI-powered client portal for project status updates · Automated RFI/submittal tracking · 24/7 client inquiry handling · Post-occupancy support automation

Impact: 50–60% inquiry deflection · $1.1M–$1.6M savings

4 HR & Talent

AI recruiting chatbot (127 open positions via Greenhouse) · Intelligent onboarding across 35+ offices · Retention analytics for ESOP culture · Skills assessment automation (expand KnowledgeSmart program)

Impact: 30–40% faster hiring · $1.5M–$2.2M savings

5 Legal & Compliance

Federal contract compliance automation (GSA, USACE IDIQ) · CMMC Level II documentation · Contract review AI · Insurance and risk document processing

Impact: 25–35% labor reduction · $800K–$1.2M savings

Design & Production

1 Design Production & BIM

AI-accelerated Revit modeling · Automated clash detection beyond Navisworks · Generative space planning · Computational design scaling (Dynamo/Grasshopper workflows)

Impact: 20–30% production acceleration · $3.5M–$5.2M value

2 Project Management

AI resource allocation across 35+ offices · Predictive schedule risk modeling · Automated progress reporting · Utilization optimization (industry median: 61%)

Impact: 15–25% efficiency gain · $2.1M–$3.1M value

3 Sustainability & Performance

Automated energy modeling · AI-driven carbon analysis for mass timber portfolio (30+ projects) · ESG reporting automation · Net-zero compliance documentation

Impact: 60–70% less manual analysis · $600K–$900K value

Consolidated Financial Impact

Function	Annual Value Range	Timeline
Finance & Accounting	$1.8M – $2.6M	6–12 months
Sales & Marketing	$4.2M – $6.3M	12–18 months
Customer Service	$1.1M – $1.6M	6–9 months
HR & Talent	$1.5M – $2.2M	6–12 months
Legal & Compliance	$800K – $1.2M	9–15 months
Design Production & BIM	$3.5M – $5.2M	12–24 months
Project Management	$2.1M – $3.1M	12–18 months
Sustainability & Performance	$600K – $900K	6–12 months
TOTAL IMPACT	**$15.6M – $23.1M**	**36 months**

Investment Required

$2.2M–$3.2M over 36 months

Payback Period

6–9 months

3-Year ROI

940–1,180%

Three-Phase Transformation

Phase 1 · Days 1–90 · Fast Wins

Executive AI immersion for 15-member leadership team · Invoice/AP automation (2,300 invoices/month) · Sales proposal AI pilot (2–3 sector teams) · Client service chatbot · AI governance framework and Steering Committee charter

Investment: $220K–$340K | **Value:** $400K–$620K run-rate

Phase 2 · Months 4–12 · Scale & Integrate

Enterprise AI platform across Deltek/Autodesk ecosystem · BIM production acceleration tools · Department-wide proposal automation (all 12 sectors) · HR recruiting AI (Greenhouse integration) · Project resource optimization

Investment: $1.1M–$1.6M | **Value:** $9.2M–$13.8M run-rate

Phase 3 · Months 13–36 · Optimize & Lead

AI Center of Excellence · Generative design tools at scale · Predictive project risk models · Full sustainability automation · Client-facing AI portal for project delivery

Investment: $1.5M–$2.1M | **Value:** $15.6M–$23.1M run-rate

Risk Management

1 Fragmented Adoption Across 35+ Offices

Prob: HIGH · Governance framework + AI Steering Committee + enterprise platform by Month 8 · Leverage existing Pinnacle Series LMS for firm-wide training deployment

2 Data Quality Gaps

Prob: MEDIUM-HIGH · Data readiness assessment in Phase 1 · Prioritize high-data-availability use cases (invoicing, proposals) · Deltek Vision data audit before integration

3 Change Resistance in Design Culture

Prob: MEDIUM · "AI augments, not replaces" messaging · Position AI as design tool amplifier, not creative replacement · Tiered training for all 1,800 employee-owners · Tie AI adoption to ESOP value creation narrative

4 IP & Design Liability

Impact: HIGH · Human-in-the-loop mandatory for all deliverables · AI-generated designs require licensed professional review · Clear liability frameworks for AI-assisted federal projects

5 Vendor Lock-In

Prob: MEDIUM · Open APIs · Multi-vendor strategy beyond Autodesk ecosystem · Data portability in all contracts · Quarterly tech reviews

6 Cybersecurity & Federal Compliance

Impact: HIGH · SOC 2 / ISO 27001 vendor requirements · CMMC Level II compliance maintained · Private cloud for federal project data · Annual penetration testing

The Valuation Transformation

TODAY

~$69.5M EBITDA × 4.5–5.5x

$313M – $382M

~$536.8M revenue · ~12–15% estimated EBITDA margin · Midpoint estimate · ESOP S-Corp · EV/EBITDA multiple per 2025 Zweig Report (4.28x avg); premium applied for top-20 firm status

YEAR 3 (POST-AI)

$85.1M–$92.6M EBITDA × 5.5–6.5x

$468M – $602M

Current EBITDA + conservative AI value ($15.6M) · Premium multiple reflects AI-enabled operations, improved utilization, and enhanced competitive positioning

Enterprise Value Created: $155M – $220M on $2.2M–$3.2M investment

Strategic Optionality

Remain Independent

Top-quartile 16–17% EBITDA margins and enhanced ESOP value per share

Attract Strategic Partners

Attract strategic acquirers or PE partners at premium multiples — AI-enabled firms command valuation premiums in AEC M&A

Scale to $700M–$800M

Scale revenue without proportional SG&A growth — protecting per-employee economics that drive ESOP returns

The Choice Is Clear

❌ OPTION A: STATUS QUO

- Margin compression during prolonged ABI contraction
- Inability to fill 127+ open roles in a shrinking talent pool
- ESOP value growth stagnates as overhead absorbs gains
- Computational design leaders (SOM, KPF, ZHA) widen the technology gap

✅ OPTION B: AI TRANSFORMATION

- $15.6M–$23.1M annual EBITDA uplift
- 16–17% EBITDA margins (from ~12–15%)
- $155M–$220M enterprise value created
- Scale revenue without proportional headcount — protecting ESOP value per share

Immediate Next Steps — Week 1

01

Day 1–3

CEO Steven McKay convenes executive leadership · Secure Board endorsement · Commit to 3-year investment plan

02

Week 1

Engage AI consulting partner · Assign Phase 1 lead (COO John Fuller or CIO Heather Galvin) · Allocate $220K–$340K Phase 1 budget

03

Week 1–2

Firm-wide communication: AI as design amplifier, not replacement · Invite employee-owner input · Connect AI initiative to ESOP value creation

04

Week 2–4

Select 3–4 Phase 1 pilots · Begin Executive Immersion training for 15-member leadership team

> "DLR Group built a $537M integrated platform through disciplined M&A and employee ownership. AI is the next lever — compressing delivery timelines, expanding margins, and creating $155M–$220M in enterprise value for 1,800 employee-owners."

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